

Rights to subscribe to new stock can sometimes be made the basis of profitable hedging operations, especially when the stock is selling close to the subscription price. In such cases the rights can be bought and the stock sold against them, with the idea that should the shares fall below the subscription figure the rights can then be discarded and the stock bought in at a profit. Unfortunately for such schemes, inside manipulation usually keep up the price of the issue until the rights expire, in order to stimulate subscriptions. The severe declines, as in the case of Sinclair Oil and Pan American Petroleum, usually come a little after the expiration of the rights—that is, too late for value to the hedger. Studebaker and Saxon Motors are recent instances of the stock falling below the offering price of the new stock before the last day for subscribing.

THE "STRADDLE"

Perhaps the best way to operate with rights is to straddle,—that is to play the market for both an advance and a break. This can be done by selling only half the stock corresponding to the rights purchased. It is very important here that the price of the rights be very low, and they still have a substantial period to run. A good current example is that of Simms Petroleum. On January 15, when the news of salt water in the Homer Field was published, this stock declined to 47, and the rights to 1. The latter entitled the holder to obtain one new share of Simms for each two rights, on payment of \$47.50, the privilege expiring February 2. Since the oil stocks were then in a highly speculative position, Simms Petroleum held possibilities of either a big further slump or a radical recovery within the next two weeks. It appeared a good idea, therefore, to purchase say 400 Simms rights at 1, and sell only 100 shares of the stock against them at 47. The trader would then have been in a position to make profit from a wide move in either direction. Had the stock fallen to 40, for example, he could